ROYAL LONDON
SUSTAINABLE GROWTH FUND

31.12.23

FUND OVERVIEW

Fund Manager(s)	Sebastien Beguelin, George Crowdy, Mike Fox
Fund Size	£118.42m
Domicile	United Kingdom
ISA	Eligible
Investment Association Sector	IA Mixed Investment 40-85% Shares
Currency	GBP
Initial Charge	0.0%
Fund Management Fee (FMF):	M Acc: 0.77% Z Acc: 0.62%

Share Class M GBP (Acc)

Unit Launch Date	24.05.22
Minimum Investment	£100,000
SEDOL	BMV9236
Mid Price	114.80p
Historic Yield	1.26%

Share Class Z GBP (Acc)

Unit Launch Date	24.05.22
Minimum Investment	£3,000,000
SEDOL	BMV9247
Mid Price	115.00p
Historic Yield	1.36%

Overview

The Fund's investment objective is to achieve capital growth over the medium term, which should be considered as a period of 3-5 years, by investing in a diverse range of equity and fixed income assets. Investments in the Fund will adhere to the Investment Manager's ethical and sustainable investment policy. The Fund is actively managed, meaning that the Investment Manager will use their expertise to select investments to meet the objective. The IA Mixed Investments 40-85% Shares sector is considered an appropriate benchmark for performance comparison.

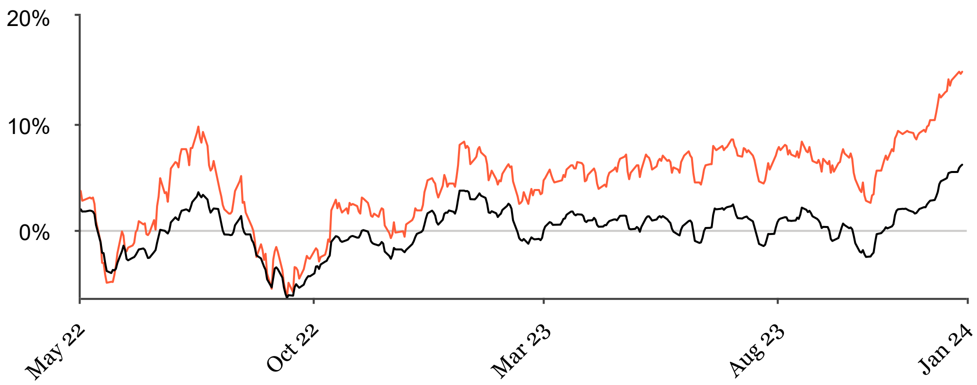
Year-on-year performance

	31.12.22 to 31.12.23	31.12.21 to 31.12.22	31.12.20 to 31.12.21	31.12.19 to 31.12.20	31.12.18 to 31.12.19
Share Class M GBP (Acc)	14.1%	-	-	-	-
Share Class Z GBP (Acc)	14.3%	-	-	-	-

Cumulative Performance (as at 31.12.23)

	3 Months	6 Months	1 Year	3 Years	5 Years
Share Class M GBP (Acc)	7.6%	7.3%	14.1%	-	-
Share Class Z GBP (Acc)	7.7%	7.4%	14.3%	-	-
IA Sector Average	5.8%	5.6%	8.1%	7.9%	31.5%
Quartile Ranking	1	1	1	-	-

Performance Chart



24.05.22 - 29.12.23 Powered by data from FE fundinfo

Fund IA Sector Average

Past performance is not a guide to future performance. The value of investments and the income from them is not guaranteed and may go down as well as up and investors may not get back the amount originally invested.

Source: RLAM and FE fundinfo as at 31.12.23. Fund performance is shown on a mid to mid price basis, net of fees and gross of taxes, with gross income reinvested unless otherwise stated. Benchmark performance is shown gross of fees and taxes.

Fund Manager(s)

Sebastien Beguelin
Co-manager
Fund Manager tenure:
24.05.22

George Crowdy
Co-manager
Fund Manager tenure:
24.05.22

Mike Fox
Co-manager
Fund Manager tenure:
24.05.22

Yield Definitions

The historic yield reflects distributions declared over the past twelve months as a percentage of the mid-market price, as at the date shown. It does not include any preliminary charge and investors may be subject to tax on their distributions. Reported yields reflect RLAM's current perception of market conventions around timing of bond cash flows.

Important Information

This is a financial promotion and is not investment advice.

The Fund is a sub-fund of Royal London Equity Funds ICVC, an open-ended investment company with variable capital with segregated liability between sub-funds, incorporated in England and Wales under registered number IC000807. The Authorised Corporate Director (ACD) is Royal London Unit Trust Managers Limited, authorised and regulated by the Financial Conduct Authority, with firm reference number 144037. For more information on the fund or the risks of investing, please refer to the Prospectus or Key Investor Information Document (KIID), available via the relevant Fund Information page on www.rlam.com.

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Source: RLAM, FE fundinfo and HSBC as at 31.12.23, unless otherwise stated. Yield definitions are shown above.

Our ref: FS RLAM PD 0115

Breakdowns exclude cash and futures.

Fund Commentary

December was another strong month for equity returns with the MSCI World rising by 4.2% in sterling terms and the Mid-250 by 9.4%. The catalyst was a continued decline in inflation in the US and Europe and, therefore, comments from the chair of the Federal Reserve in the US that cuts in interest rates are being considered. Markets took great encouragement that inflation continues to soften without a recession being necessary and this may produce a more positive outlook for corporate earnings for 2024 than had been expected six months ago. Overall, 2023 finished as a good year with the MSCI World rising 16.8% in sterling terms, while in the UK the FTSE All-Share rose by 8%. During December, again the best performers were those sectors that had been poor for most of the year, with real estate and industrials leading the way. Defensive sectors underperformed, such as staples and energy.

The Sterling credit market had a strong end to 2023, returning 4.36% in December, taking annual returns to 8.62% for 2023. This was driven by falling gilt yields, with ten-year UK government bonds moving from 4.1% to 3.8%, fuelled by continued expectations that central bank rates have peaked. Credit spreads were tightened 1bp to 1.19% over government bonds.

The fund outperformed during the month, ranking in the first quartile relative to its peer group, both for December and for 2023 as a whole.

The fund’s top contributors to performance in December included a number of companies with ties to the physical economy including electrical components producer Schneider Electric, industrial and automotive semiconductor specialist Texas Instruments and Class 1 railroad Canadian National. IMCD, a distributor of specialty chemicals, also continued to be strong in December. Software names Adobe and Microsoft were key detractors on during the month.

The fund began a new position in Core & Main, a distributor of water products which should benefit from renewed US investment into infrastructure, both from private businesses and government stimulus. We also continued to build our stake in Comfort Systems, an installer of HVAC systems across the United States, along with Linde, a producer of industrial gases. Notable sales in the month included reducing our position in Ferguson, a building products distributor, while fully exiting our position in Aptiv, a vehicle parts manufacturer with a focus on electric vehicles, along with credit bureau Experian.

The fund began a new position in Comfort Systems, the leading installer of heating, ventilation and air conditioning systems in the United States. The business is well placed to focus on the decarbonisation of buildings, along with data centre growth and reshoring of manufacturing capacity. We also added to positions in Mercadolibre and internet search firm Alphabet.

Sector Breakdown

	Fund
Fixed Income	26.1%
Technology	19.6%
Industrials	19.1%
Financials	11.2%
Health Care	11.0%
Consumer Discretionary	6.4%
Basic Materials	3.8%
Utilities	1.6%
Consumer Staples	1.3%

Asset Split

	Fund
North American Equity	32.2%
UK Fixed Interest	24.0%
European Equity	17.4%
UK Equity	15.7%
Global Em Markets Equity	8.6%
Japan Equity	0.5%
Cash	1.6%

Top 10 Holdings as at 30.11.23

	Fund
MICROSOFT CORP	3.6%
ALPHABET INC CLASS A	3.3%
VISA INC CLASS A	3.2%
SCHNEIDER ELECTRIC	2.8%
CANADIAN NATIONAL RAILWAY	2.7%
THERMO FISHER SCIENTIFIC INC	2.6%
TAIWAN SEMICONDUCTOR MANUFACTURING	2.5%
LONDON STOCK EXCHANGE GROUP PLC	2.5%
ASTRAZENECA PLC	2.4%
LOREAL SA	2.4%
Total	**28.0%**
No of Holdings	**215**

ESG Terms and Definitions

ESG Integration: The systematic and explicit inclusion of environmental, social and governance (ESG) factors into investment analysis and investment decisions.

Promotes Environmental or Social Factors: An ESG Fund promotes, among other characteristics, environmental or social characteristics, or a combination of those characteristics, provided that the companies in which the investments are made follow good governance practices.

Sustainable Fund Objective: A product that has sustainable investment or a reduction in carbon emissions as its objective.

Exclusions: Explicitly prohibits investing in a particular company, sector, business activity, country or region.

ESG Metrics Explanation

Carbon Footprint: Exposure to high emitters in the portfolio, expressed in tCO2e/$M invested. Financed emissions (explained above) are divided by the portfolio value, the same approach for listed companies and private issuers is applied in this metric.

Financed Emissions: The emissions from activities in the real economy that are financed through lending and investment portfolios, expressed in tCO2e. Emissions are attributed to a portfolio based on the portion of the company's value the portfolio holds, and using different accounting values for public and private corporates. We provide financed emissions for scope 1 and 2 emissions.

Weighted Average Carbon Intensity: Portfolio's exposure to carbon-intensive companies, expressed in tCO2e / $M revenue. Scope 1 and scope 2 GHG emissions are divided by companies revenues, then multiplied based on portfolio weights (the current value of the investment relative to the current portfolio value). The WACI is calculated as a weighted average sum of the holdings with carbon intensity coverage.

ESG Characteristics Rationale

The Fund focuses on the sustainability of the products and services of the companies it invests in, as well as their standards of environmental, social, governance ("ESG") management, alongside financial analysis. The investment approach is fundamentally based on positive screening; identifying companies that are making a positive contribution towards a cleaner, healthier, safer and more inclusive society, through assessing both what a company does and how it does it, and through active engagement to encourage continual improvement. The fund will not invest in companies that undertake business activities deemed to be detrimental to society and that breach our Do No Significant Harm principle. Further details of the Funds Sustainable Investment process can be found in the ethical and sustainable investment policy at www.rlam.com

ESG Characteristics

	Yes	No
ESG Integration	✓	
Promotes Environmental or Social Characteristics	✓	
Sustainable Fund Objective	✓	
Additional Exclusions*	✓	

**RLAM has a controversial weapons exclusion across all investments*

Our Fund Restrictions

Adult Entertainment	✓
Alcohol	✓
Animal Welfare	✓
Armaments	✓
Controversial Weapons	✓
Fossil Fuels	✓
Gambling	✓
High Environmental Impact	✓
Human Rights Issues	✓
Nuclear Power	✓
Nuclear Weapons	✓
Tobacco	✓

Details of avoidance and/or exclusion criteria: https://www.rlam.com/globalassets/media/literature/policies/rlam-ethical-and-sustainable-investment-policy.pdf

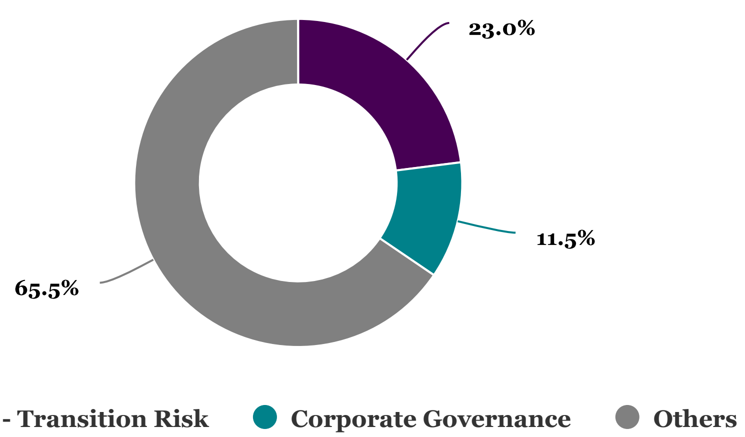
ESG Metrics*

	Portfolio	Benchmark	Difference
Carbon Footprint	10.5	0.0	0.0%
Carbon Footprint Coverage	84.2%	0.0%	
Financed Emissions	1,582.06	0.00	0.0%
Financed Emissions Coverage	84.2%	0.0%	
Weighted Average Carbon Intensity	44.7	0.0	0.0%
Weighted Average Carbon Intensity Coverage	94.1%	0.0%	

*data as at 30/06/2023

Fund Stewardship Activity*

Engagement Topics



*Data as at 31st December 2022 for the calendar year 2022. Data includes activity led by the Investment Manager and Responsible Investment teams.

CONTACT DETAILS

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Key Concepts to Understand

Bonds: are defined as fixed-income investments issued as debt by companies and public bodies to raise finance. Investors in bonds receive a previously agreed, non-variable interest payment until the investment matures. Corporate bonds are those issued by companies to raise finance.
Capital Growth: The rise in an investment's value over time.
Derivative: A financial instrument whose price is dependent upon or derived from one or more underlying asset.
Equities: Securities that represent an ownership interest in a company.
Environmental, social and governance: A list of predefined criteria that determines how a company operates in terms of sustainability and overall corporate governance.
Efficient Portfolio Management (EPM) Techniques The Fund may engage in EPM techniques including holdings of derivative instruments. The use of these instruments may expose the Fund to volatile investment returns and increase the volatility of the net asset value of the Fund. EPM techniques may involve the Fund entering into transactions with counterparties where there may be a risk of counterparty default. The Fund’s ability to use EPM strategies may be limited by market conditions, regulatory limits and tax considerations.

Fund Risks

Investment Risk: The value of investments and any income from them may go down as well as up and is not guaranteed. Investors may not get back the amount invested.
Counterparty Risk: The insolvency of any institutions providing services such as safekeeping of assets or acting as counterparty to derivatives or other instruments, may expose the Fund to financial loss.
Emerging Markets Risk: Investing in Emerging Markets may provide the potential for greater rewards but carries greater risk due to the possibility of high volatility, low liquidity, currency fluctuations, the adverse effect of social, political and economic instability, weak supervisory structures and accounting standards.
EPM Techniques: The Fund may engage in EPM techniques including holdings of derivative instruments. Whilst intended to reduce risk, the use of these instruments may expose the Fund to increased price volatility.
Exchange Rate Risk: Investing in assets denominated in a currency other than the base currency of the Fund means the value of the investment can be affected by changes in exchange rates.
Liquidity Risk: In difficult market conditions the value of certain fund investments may be difficult to value and harder to sell, or sell at a fair price, resulting in unpredictable falls in the value of your holding.
Responsible Investment Style Risk The Fund can only invest in holdings that demonstrate compliance with certain sustainable indicators or ESG characteristics. This reduces the number of securities in which the Fund can invest and there may as a result be occasions where it forgoes more strongly performing investment opportunities, potentially underperforming non-sustainable funds.

Fund Restrictions Definitions

Adult Entertainment: Companies which own or produce adult entertainment services, or engage in the distribution or sale of adult entertainment services.
Alcohol: Companies which have involvement in brewing, distillation or sale of alcoholic drinks.
Animal Welfare: Companies that conduct animal testing (other than for purposes of human or animal health and/or where it is required by law or regulation).
Armaments: Companies who manufacture armaments or nuclear weapons or associated products.
Controversial Weapons: Weapons which have an indiscriminate and disproportional impact on civilians or weapons that are illegal and prohibited by international conventions and treaties.
Fossil Fuels: Companies involved in the exploration, extraction or refining of oil, or gas, or coal, plus any activity relating to thermal coal.
Gambling: Companies who promote irresponsible gambling which includes betting shops, casinos or amusement arcades.
High Environmental Impact: Companies which have a high environmental impact, and which have ‘no evidence’ of appropriate environmental management systems.
Human Rights Risks: Companies with a strategic presence operating in countries of concern and which have ‘no evidence’ of policies or systems to manage human rights risks.
Nuclear Power: Companies who generate energy from Nuclear Power.
Nuclear Weapons: Companies that manufacture, nuclear; or are involved in the production of intended-use parts, whole weapons systems, or exclusive delivery platforms.
Tobacco: Companies which are growing, processing or selling tobacco products.